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ESG • BRSR • GHG • Net Zero • Carbon Neutral Assurance • Energy Audits

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Finding Report (CAR / CR / FAR)

Document No.	MDSSPL-NZ-R0003	Rev.	1.0	Issue Date	05 NOV 2026	Approved	Director
Service	Net Zero Carbon (Service code NZ)					Service Group	Carbon and climate

Engagement details			
Client / Organization		Engagement Ref.	
Site(s) / Boundary		Assessment Type	☐ Initial ☐ Surveillance / Re-assessment ☐ Follow-up
Criteria / Standards	☐ SBTi Corporate Net-Zero Standard ☐ ISO 14068-1:2023 ☐ ISO IWA 42:2022 ☐ ISAE 3410 ☐ ISO 14064-1:2018 ☐ GHG Protocol ☐ Other [ ]		
Base Year		Target Years (near / long term)	
Reporting Year		Level of Assurance	☐ Reasonable ☐ Limited
Lead Assessment		Date of Finding	

Finding			
Finding No.		Date Raised	
Type of Finding	☐ CAR – Corrective Action Request ☐ CR – Clarification Request ☐ FAR – Forward Action Request		
Category	☐ Critical ☐ Major ☐ Minor ☐ Concern		
Nature of Finding	☐ Inventory misstatement ☐ Target / pathway non-alignment ☐ Non-conformity with criteria		
Scope / Area	☐ Scope 1 ☐ Scope 2 ☐ Scope 3 ☐ Targets / Transition plan	Target / KPI Reference	
Impact (tCO_2e)		% of Base-year Emissions	

Description of finding
Detail of finding
Objective evidence (documents, records, data sampled, site observations)
Requirement (quote the applicable clause / requirement)

Clause reference	*Select from the lists below; add other criteria in the last row.*
SBTi Net-Zero	– Select –
ISO IWA 42	– Select –
ISO 14068-1:2023	– Select –
ISAE 3410	– Select –
Other criteria / ref.	

Lead Assessor		Auditee Representative	

Date		**Date**	

Response by the client			
Root cause			
Correction (immediate)			
Corrective action			
Revised inventory / target value			
Proposed completion date		**Submitted by / Date**	

Review and closure by MDSSPL			
Acceptance of root cause and correction	☐ Accepted ☐ Not accepted Comments:		
Verification of corrective action			
Finding status	☐ Open ☐ Closed ☐ Carried forward as FAR ☐ Affects net-zero conclusion		
Lead Assessor signature		**Date of closure**	

Annex A – SBTi Corporate Net-Zero Standard – Requirement Areas

Check the SBTi version in force for the engagement.

Clause / Ref.	Title / Requirement
SBTi Corporate Net-Zero Standard – requirement areas	
SBTi	Boundary and coverage of Scope 1, 2 and 3 emissions
SBTi	Base year selection and recalculation
SBTi	Near-term science-based targets (5–10 years)
SBTi	Long-term science-based targets (by 2050 or sooner)
SBTi	Scope 3 target coverage
SBTi	FLAG targets (forest, land and agriculture)
SBTi	Neutralization of residual emissions (permanent removals)
SBTi	Beyond value chain mitigation (BVCM)
SBTi	Annual progress reporting and target revalidation
SBTi	Net-zero claim conditions

Annex B – ISO IWA 42:2022 – Topics

Clause / Ref.	Title / Requirement
ISO IWA 42:2022 Net zero guidelines – topics	
IWA 42	Net zero target setting and scope
IWA 42	GHG inventory boundary covering Scope 1, 2 and 3
IWA 42	Prioritising emission reductions (mitigation hierarchy)
IWA 42	Interim targets and pathway
IWA 42	GHG removals and treatment of residual emissions
IWA 42	Governance, transition plan and accountability
IWA 42	Reporting, disclosure and verification
IWA 42	Net zero claims and communication

Annex C – ISO 14068-1:2023 Clause Reference

Clause / Ref.	Title / Requirement
Clause 4 – Principles	
4.1	General
4.2	Transparency
4.3	Conservativeness
4.4	Hierarchy approach
4.5	Supporting transition
4.6	Ambition
4.7	Urgency
4.8	Science-based approach
4.9	Avoiding adverse impacts
4.10	Accountability
4.11	Value chain and life cycle approach
Clause 5 – Approach	
5.1	Framework
5.2	Carbon neutrality management hierarchy
5.3	Carbon neutrality pathway
5.4	Documented information
Clauses 6 – 8	
6	Commitment to carbon neutrality
7.1	Selection of the subject and its boundary – General
7.2	Selection of the subject – Documented information
8.1	Quantification of GHG emissions and removals
8.2	Quantification – Documented information
Clause 9 – Carbon neutrality management plan	
9.1	Content of carbon neutrality management plan
9.2	Ambition
9.3	Evaluation and revision of the carbon neutrality management plan
9.4	Management plan – Documented information
Clause 10 – GHG emission reductions and GHG removal enhancements	
10.1	GHG emission reductions
10.2	GHG removal enhancements
10.3	Reductions and removals – Documented information
Clause 11 – Offsetting the carbon footprint	
11.1	Offsetting – General
11.2	Criteria for carbon credits
11.3	Criteria for carbon crediting programmes
11.4	Offsetting – Documented information
Clauses 12 – 13 and Annexes	
12	Carbon neutrality report
13	Carbon neutrality claims
Annex A	Carbon neutrality pathway (informative)

Clause / Ref.	Title / Requirement
Annex B	Additional requirements for specific cases (normative)
Annex D	Ambition (informative)

Annex D – ISAE 3410 – Engagement Areas

Clause / Ref.	Title / Requirement
ISAE 3410 – Assurance on GHG statements (engagement areas)	
ISAE 3410	Acceptance and agreement of engagement terms
ISAE 3410	Planning and materiality
ISAE 3410	Understanding the entity, its emissions and internal control
ISAE 3410	Assessing risks of material misstatement
ISAE 3410	Responses to assessed risks (procedures for reasonable / limited assurance)
ISAE 3410	Using the work of experts / other practitioners
ISAE 3410	Evaluation of misstatements
ISAE 3410	Written representations
ISAE 3410	Forming the assurance conclusion
ISAE 3410	Assurance report

Annex E – Finding Types and Categories

Term	Meaning
CAR	Corrective Action Request: a misstatement or non-conformity that must be corrected and closed before a positive conclusion, opinion, certificate or claim can be issued.
CR	Clarification Request: information is insufficient or unclear to decide whether a requirement is met; the client must provide clarification or evidence.
FAR	Forward Action Request: an issue to be addressed and checked in the next period; it does not prevent the current conclusion.
Inventory misstatement	Error or omission in base-year or reporting-year emissions that affects targets or progress.
Target / pathway non-alignment	Targets, boundary, coverage or pathway are not aligned with the selected criteria.
Non-conformity with criteria	Governance, transition plan, removals, claims or reporting do not meet the criteria.
Critical	Finding that alone makes the reported information materially wrong or prevents a conclusion; immediate correction required.
Major	Systematic or significant failure that could lead to a material error or invalid claim if not corrected.
Minor	Isolated lapse not likely to cause a material error or invalid claim on its own.
Concern	Observation or opportunity for improvement; no action is mandatory.

Severity categories are suggested definitions aligned with MDSSPL procedures. Clause titles are summarized for reference; refer to the licensed standards and current regulatory texts for full requirements.